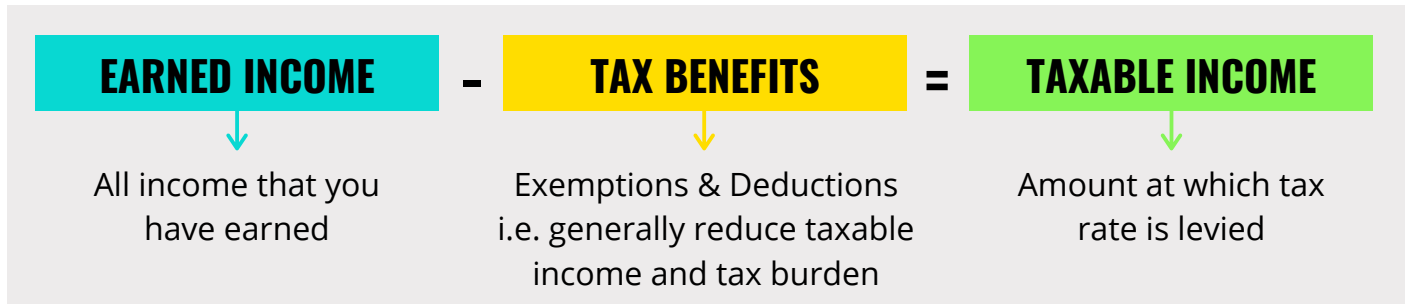


TAX BENEFITS

As discussed earlier, our earned income and the taxable income are different. The differences arise due to the tax benefits that we get. These tax benefits are extended to us by the Government. They reduce the tax liability of the person. Now, tax benefits can be given in two forms i.e. exemptions and deductions. Let us understand the technical terms first.



EXEMPTIONS

Exemptions are those income sources which are exempted or not counted as part of our income. Certain asset classes have returns that are free from tax liability. For instance, up until FY20, the government did not tax dividends received in India. These are income sources that are included in the earned income but are, however, excluded from the taxable income. Another example would be, the interest received on PPF in India. It is not counted in our taxable income. This means PPF interest is tax-exempt.

